

Federal Government's response to the drought, and the adequacy and appropriateness of policies and measures to support farmers, regional communities and the Australian economy

Introduction

On 14 November 2019, the Senate moved that the Rural and Regional Affairs and Transport References Committee inquire into the Federal Government's response to the drought occurring at that time, and the adequacy and appropriateness of policies and measures to support farmers, regional communities and the Australian economy.

The Inquiry Report was released on 21 October 2021 and made 20 recommendations.

Australian farmers and their communities are used to working in various cycles – in market demand, commodity prices and weather. With a changing climate, the cycle of drought is accelerating in many regions, resulting in more frequent, more severe and longer-lasting dry conditions.

The impact of drought on farmers, rural communities and the economy is likely to worsen, unless we continue to adapt. Rather than look to the skies for relief, we need to build our capacity to manage the impacts when the rain doesn't fall. This applies to government as well as farmers. We all have a role to play to ensure we are better prepared to deal with drought.

The Australian Government welcomes the report. Our drought response is not 'set and forget'. The Government values feedback and is continually monitoring the effectiveness of drought policies and programs, to ensure they meet the need of farmers, regional communities and the economy. Through its own review in 2020, the Government identified similar issues and is already embedding improvements to identified gaps into our drought policy.

We are developing new resources, such as targeted, accessible climate data and self assessment tools that farmers can use to prepare their businesses for drought. We are developing drought indicators to help understand drought conditions and their impact. We are co-ordinating efforts to manage the drought cycle as a shared responsibility, by partnering with others to plan who does what, when and how. Our partners include industry, the finance sector, councils, charities and other community groups, as well as states and territories through the National Drought Agreement.

The Australian Government has committed over \$11 billion to drought-related measures since 2018–19 for farmers and rural communities. This investment is strengthening rural Australia's capacity to withstand drought, investing in drought preparedness and resilience activities as well as providing targeted support when and where it is needed most.